

Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

Sector: Financials

ROE

17.5%

ROCE

3.4%

D/E

6.86x

OPM

28.1%

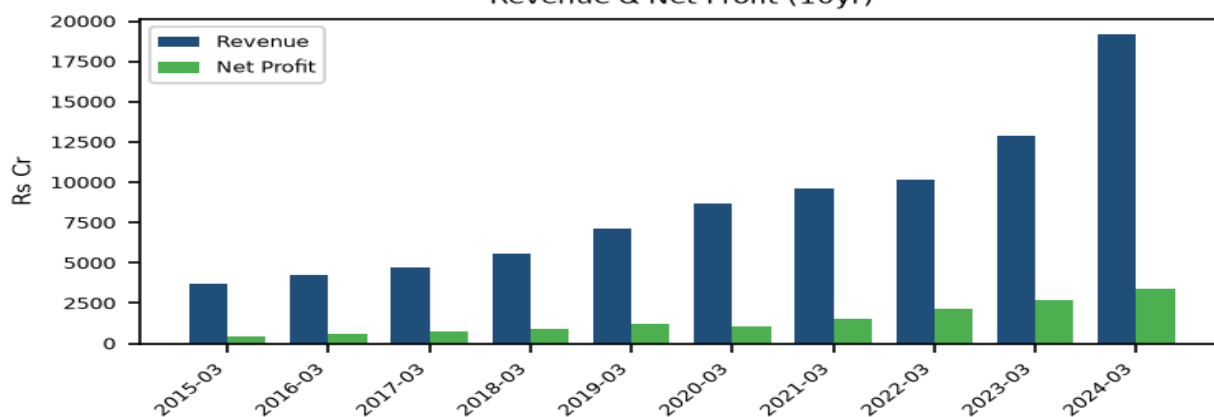
Revenue CAGR 5yr

21.9%

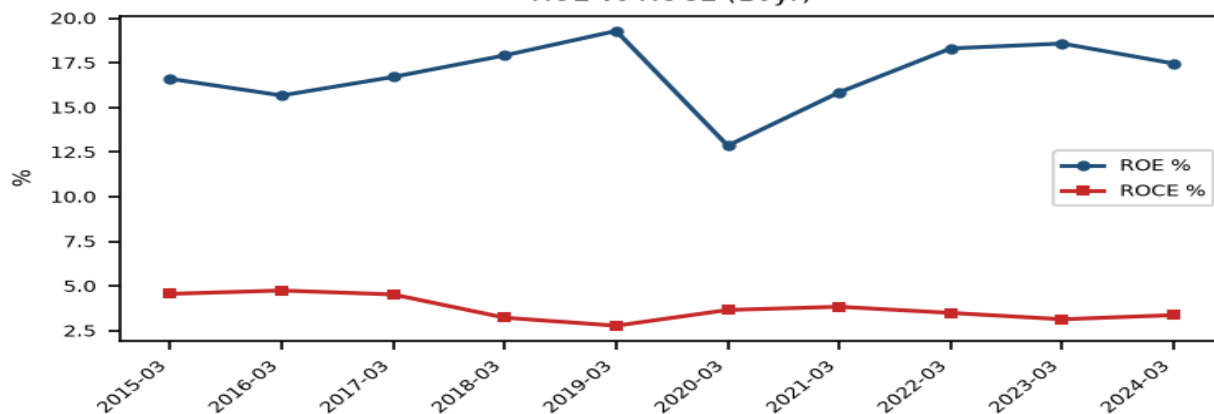
Free Cash Flow

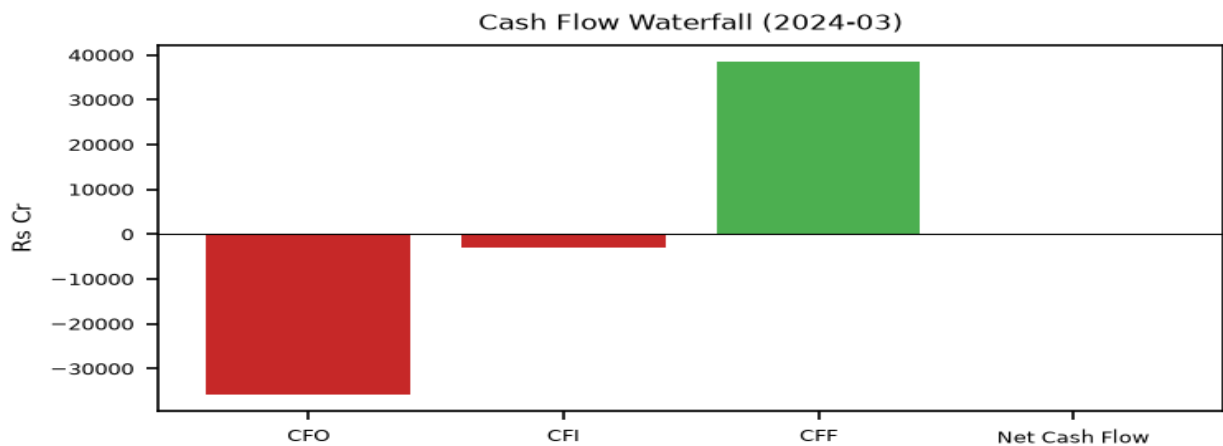
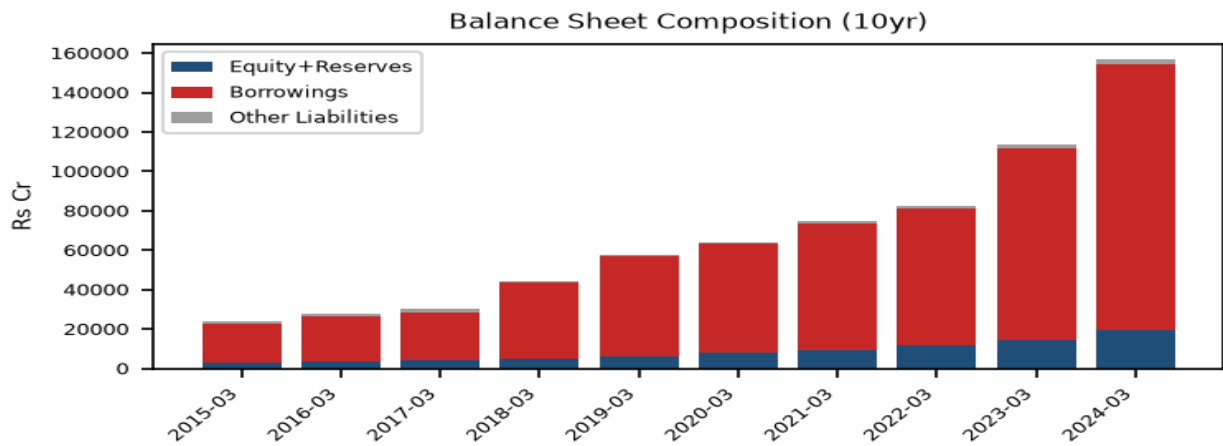
Rs -38,538 Cr

Revenue & Net Profit (10yr)



ROE vs ROCE (10yr)





Pros

- Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Net profit compounding at above 20% over 5 years creates significant shareholder value
- Very high interest coverage ratio reflects negligible financial stress from debt servicing
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital

Capital Allocation: Growth Funded by Debt